

# EMI Payment Rules and Overdue Policy

Bank Policy Document — Version 1.4 | Effective April 2026

## 1. EMI Due Date

The Equated Monthly Instalment (EMI) due date is determined at the time of loan disbursement:

- EMI due date is fixed on the same calendar date as the disbursement date, each month
- Example: Loan disbursed on 10th April → EMI due on 10th of every subsequent month
- If the due date falls on a bank holiday or Sunday, the EMI is due on the next working day
- The EMI due date is printed on the loan sanction letter and cannot be changed after disbursement

## 2. Grace Period

A grace period of 7 calendar days is provided from the EMI due date:

- No late payment charge is levied if the EMI is received within 7 calendar days of the due date
- The grace period applies to all loan types — personal, home, vehicle, business, and education
- Grace period does not reduce the principal or alter the loan tenure

IMP  
ORT  
ANT

The grace period is a courtesy provision. Consistent use of the grace period is noted in the repayment track record and may affect future loan applications.

## 3. Late Payment Charges

If the EMI is not received within the 7-day grace period:

| Late Payment Charge Schedule |                                                                        |
|------------------------------|------------------------------------------------------------------------|
| Late payment charge rate     | 2% per month on the overdue EMI amount                                 |
| Calculation basis            | Simple interest on overdue amount from the day after grace period ends |
| Minimum charge               | ■200 per overdue EMI                                                   |
| GST on late charge           | 18% GST applicable on the late payment charge amount                   |
| Compounding                  | Charges accrue daily until overdue amount is cleared                   |

## 4. Overdue Status Classification

EMI records are classified as Overdue when the following conditions are met:

- Payment Status changes from 'Pending' to 'Overdue' after the 7-day grace period expires
- Overdue status is applied automatically by the bank's loan management system at midnight on Day 8
- The customer receives an automated SMS and email notification on Day 1 (due date), Day 7 (last grace day), and Day 8 (overdue status set)
- Overdue EMIs are reported to CIBIL if not cleared within 30 days of the original due date

## 5. CIBIL Reporting

Loan repayment information is reported to CIBIL (Credit Information Bureau India) on a monthly basis:

- Regular on-time payments improve the borrower's credit score over time
- A single overdue EMI (30+ days) results in a Days Past Due (DPD) mark on the credit report
- DPD 90+ results in NPA (Non-Performing Asset) classification — significant negative credit impact
- Correct settlements: If an overdue is cleared within the same reporting month, the DPD mark may not appear in that month's CIBIL report

## 6. Foreclosure (Full Prepayment)

Customers may close the loan before the end of the tenure (foreclosure) subject to the following conditions:

| Foreclosure Terms by Loan Type |                                                         |
|--------------------------------|---------------------------------------------------------|
| Eligibility                    | Foreclosure allowed after 6 EMI payments have been made |
| Personal Loan charge           | 3% of outstanding principal at time of foreclosure      |
| Home Loan — floating rate      | NIL foreclosure charge per RBI guidelines               |
| Home Loan — fixed rate         | 2% of outstanding principal (first 3 years only)        |
| Vehicle Loan                   | 3% – 4% of outstanding principal                        |
| Education Loan                 | NIL during moratorium; 2% after repayment starts        |

## 7. Part Prepayment

Partial prepayment of the outstanding principal is permitted under the following terms:

- Minimum part-prepayment amount: ■10,000 per transaction
- Part-prepayment reduces the outstanding principal; EMI is recalculated or tenure is reduced (borrower's choice)
- Maximum part-prepayment: Up to 25% of outstanding principal per calendar year
- No charge on part-prepayment for floating rate loans

## 8. Payment Channels

EMIs can be paid through the following authorised channels:

- NACH Mandate (Auto-debit): Recommended — EMI debited automatically from registered bank account on due date
- UPI: Payments accepted via any UPI-enabled app using the loan account's virtual payment address
- Net Banking: Transfer to the loan repayment account via NEFT/RTGS/IMPS
- Branch: Cash or cheque deposit at any bank branch during working hours
- Mobile App: EMI payment via the bank's official mobile banking application

## 9. Auto-Debit Bounce Charge

If the NACH mandate auto-debit fails due to insufficient funds or account issues:

- Bounce charge: ■500 per failed auto-debit attempt

- The bank retries the auto-debit once on Day 3 after the original failure
- Second bounce: Additional ₹500 charge; the auto-debit is suspended for 30 days
- Customer must pay EMI manually and reactivate the NACH mandate
- Three consecutive bounces result in NACH mandate cancellation; customer must set up fresh mandate

10. Late Charge Waiver Policy

Late payment charges may be waived under the following limited circumstances:

- First-time waiver: Available once per loan account, on written request to the branch manager within 15 days of the charge being levied
- Medical emergency: One additional waiver available with supporting documentation
- Bank error: Fully waived if overdue was caused by a banking system error (bank notification + investigation required)
- Waiver is not automatic — customer must initiate the request through Customer Care (1800-XXX-XXXX) or branch visit

HAR  
DSHI  
P NO  
TE

Customers experiencing genuine financial difficulty are encouraged to proactively contact the bank before the grace period expires. Hardship restructuring options — including temporary EMI deferral, tenure extension, or interest-only repayment — are available on a case-by-case basis.